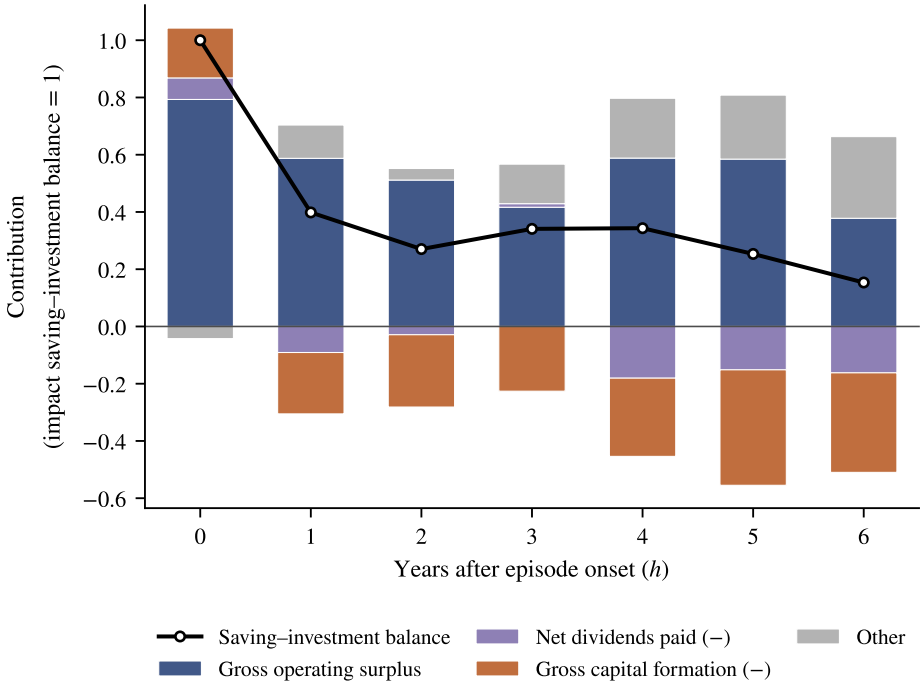
Figure 2. Decomposition of the corporate saving–investment balance



Notes: Point estimates for terms-of-trade episodes. Bars sum to the corporate saving–investment balance: gross operating surplus minus net dividends paid (paid minus received) minus gross capital formation (fixed capital and inventories) plus other items (interest, taxes, other property income, non-produced assets and capital transfers). Episodes: country-specific top/bottom decile changes in the household saving rate with the consumption-share change exceeding the disposable-income-share change (households), or in the terms of trade with operating surplus moving in the same direction (corporations); increases and decreases pooled with signs aligned. Local projections with country and year fixed effects, estimated by two-step weighted least squares; 42 economies, 1970–2025. All regressions control for two lags of the change in the own-sector saving–investment balance.